

PART I: MULTIPLE CHOICE (25%)
CHOOSE THE BEST ANSWER AND WRITE THE LETTER OF YOUR CHOICE ON A SEPARATE ANSWER SHEET APPENDED TO THIS EXAM BOOKLET.

1. Which one of the following statements is **incorrect** about customary and religious marriages?
 - A. The validity of both types of marriages is not affected by their registration.
 - B. Their substantive requirements are prescribed by the relevant custom and religion.
 - C. Their formality requirements are prescribed by the relevant custom and religion.
 - D. The spouses cannot be divorced without the involvement of a court of law.
 - E. The spouses have equal validity as marriage concluded before an officer of civil status.

2. Which one of the following statements is **correct** about formation of contracts under the Ethiopian Law of contracts?
 - A. A contract can be formed without the expression of consent of the contracting parties as long as there is meeting of mind of the contracting parties.
 - B. A contract cannot be formed unless the contracting parties meet physically and sign the contract in person.
 - C. A contract can be formed even between absent parties so long as there are appropriate offer and acceptance between the contracting parties.
 - D. Any valid contract is said to be formed where the formal requirements are completely satisfied by the contracting parties.
 - E. Under the Ethiopian Law of Contracts, any valid contract cannot be formed unless the contract is duly signed by the parties and authenticated by the appropriate organ of government.

3. Which one of the following is **different** from others?
 - A. Income derived from personal property of one of the spouses.
 - B. Property acquired by spouses before marriage.
 - C. Property acquired by spouses after marriage by way of donation.
 - D. Property acquired by spouses after marriage by way of succession.
 - E. A sum of money that spouses possess on the day of their marriage.

4. Which one of the following is incorrect in relation to extra-contractual under Ethiopian Law?
- A. There must be a proximate cause and effect relationship between and an interest harmed.
 - B. The interest harmed must be a legitimate one.
 - C. There must be breach of duty on the part of the tortfeasor (defendant).
 - D. There must normally be damage to an interest.
 - E. The interest harmed must always have monetary value.
5. Which one of the following is beyond the power of contracting parties?
- A. Setting the period of limitation.
 - B. Determining the object of the contract.
 - C. Determining time of performance.
 - D. Determining the place of performance.
 - E. Determining the respective rights and obligations of the parties.
6. A deposited his watch with B on contract of bailment for two years but B sold the watch to C in open market in violation of terms of the contract. C did not know that B lacks title. Which of the following is correct?
- A. A cannot claim the watch from C.
 - B. A can claim the market price of the watch from C.
 - C. C can in no way acquire title to the watch.
 - D. The contract between B and C is not a valid contract.
 - E. A cannot invoke the contract of bailment to claim remedy against B.
7. What does the doctrine of *privity* of contract presupposes?
- A. The government can benefit from a contract concluded between private parties even if the government is not a contracting party.
 - B. It is the contracting parties who enjoy rights and assume obligations from the contract they have concluded.
 - C. Third parties should benefit from a contract concluded by the contracting parties.
 - D. Third parties should assume obligations as a result of a contract concluded by other contracting parties.
 - E. A contract which has not contained consideration shall not be binding on the contracting parties.

8. Which one of the following is **not true** about proof of marriage by possession of status?
- A. It is an exceptional means of proof.
 - B. Proof of marriage by possession of status is allowed if the marriage certificate is destroyed.
 - C. Proof of marriage by possession of status is allowed if the marriage certificate is lost.
 - D. Proof of marriage by possession of status is allowed if the marriage is not registered at all.
 - E. It can be used to prove only religious and customary marriages.
9. Under the Ethiopian law, the finder of lost corporeal chattel has:
- A. No obligation to preserve the things s/he found.
 - B. The right to transfer valid title to third parties.
 - C. The obligation to take measures of publicity with a view to informing the owner of the fact that he found the chattel.
 - D. The right to personal use of the thing s/he found.
 - E. No right to claim compensation for expenses s/he incurred in the course of administration of the thing.
10. Which one of the following factors is totally **irrelevant** to determine the custody of the child after dissolution of marriage?
- A. The income of spouses.
 - B. The age of spouses.
 - C. The health of spouses.
 - D. The age of the child.
 - E. The sex of spouses.
11. Ascertainment of paternity through legal presumption **does not** apply to a child
- A. Born more than 300 days after the dissolution of the marriage.
 - B. Born within 180 days after the conclusion of the marriage.
 - C. Born within 180 days after the establishment of the irregular union.
 - D. Born within 3 months after the conclusion of the marriage.
 - E. Born within 2 months after the conclusion of the marriage.

12. Under the Civil Code of Ethiopia, contracting parties **cannot** use their freedom of contract to:

- A. Extend or shorten period of limitation determined by the law-maker and provide exceptions to the rule of evidence incorporated in the Code concerning the admissibility of certain means of evidence.
- B. Determine alternative obligations as that will be contrary to security of transaction.
- C. Limit their liability and provide under their contract that they will not be liable unless they commit fault.
- D. Extend their liability under the contract and provide that they will be liable for non-performance although performance is prevented by force majeure.
- E. Make one of the contracting parties to assume a certain obligation and the other contracting party to assume no obligation at all.

13. Which one of the following statement is **correct** about status of marriage celebrated abroad under the Revised Family Code?

- A. It should be re-celebrated in Ethiopia to be valid.
- B. It can be valid in Ethiopia as long as it is concluded in accordance with the law of the country of celebration.
- C. Its divorce cannot be sought in Ethiopia.
- D. The fact that it contravenes Ethiopian public morality does not matter as long as it complies with the law of the country where celebration took place.
- E. It should be registered in Ethiopia to be valid.

14. Which of the following is **not** regarded as special movable under the Ethiopian law?

- A. Aircraft.
- B. Ship.
- C. Business.
- D. Vehicle.
- E. Cell phone.

15. Which one of the following statements is true?
- A. Every juridical act is a contractual agreement while every contractual agreement is not a juridical act.
 - B. Every obligation is a contract while every contract may not necessarily entail an obligation.
 - C. Every agreement is a contract while every contract is not an agreement.
 - D. Every contract is an agreement while every agreement is not a contract.
 - E. Every contract imposes obligations on both the contracting parties.

16. Non-performance of a contract **cannot** in any case entail:
- A. Cancellation of the contract.
 - B. Criminal liability and forced labor.
 - C. Payment of compensation.
 - D. Variation of contract.
 - E. Forced performance of a contract.

17. Which of the following concepts is unrelated to Ethiopian tort law?
- A. Restitution.
 - B. Injunction.
 - C. Enforcement of parties' commitment.
 - D. Compensation.
 - E. Declaration.

18. Which one of the following statements is **correct** about subrogation under the Ethiopian law of guarantee?
- A. As far as protection of the interest of the guarantor is concerned, subrogation is less advantageous than indemnity.
 - B. Subrogation is available to the guarantor by virtue of a contractual clause which means that it can be waived in advance by the guarantor.
 - C. As far as protection of the interest of the guarantor is concerned, subrogation is more advantageous than indemnity.
 - D. Subrogation is available to the guarantor only in the case of joint guarantee where it is expressly provided in the contract of guarantee.
 - E. Subrogation is available to the guarantor only in the case of joint guarantee even if the contract of guarantee does not contain any clause as far as subrogation is concerned.

19. Which one of the following is different from the rest?
- A. Secondary guarantor.
 - B. Simple guarantor.
 - C. Joint guarantor.
 - D. Plurality of guarantors.
 - E. Counter-guarantor.
20. Which one of the following relationship may create vicarious liability under the Ethiopian law?
- A. Husband for his wife.
 - B. Parents for their minor children.
 - C. Wife for husband.
 - D. Children for parents.
 - E. Building owners for their leases.
21. Which of the following is subject to rules governing transactions involving corporeal chattels?
- A. Immovables by destination.
 - B. Immovables.
 - C. Movables by nature.
 - D. Accessories of immovables.
 - E. Intrinsic elements of immovables.
22. The concept of benefit of discussion is best associated with:
- A. Joint guarantee.
 - B. Simple guarantee.
 - C. Plurality of guarantors.
 - D. Joint creditors.
 - E. Joint debtors.
23. Where the law requires that a certain contract should be made in writing, the existence and contents of this contract are to be proved principally by:
- A. Oath.
 - B. Admission.
 - C. Producing the written document itself.
 - D. Oral testimony.
 - E. Affidavit.

24. An owner **does not** lose ownership of a property under the Ethiopian property law on the following ground:
- Acquisitive prescription.
 - Usucaption.
 - Transfer.
 - Loss of physical control.
 - Mortgage.
25. Which one of the following juridical acts **cannot** absolutely come into the picture in the absence of the mutual agreement of the contracting parties?
- Termination of a contract.
 - Variation of a contract.
 - Novation of a contract.
 - Set-off of a contract.
 - Merger of a contract.

SECTION II: MATCHING (10 %)

MATCH EACH ITEM UNDER COLUMN "A" WITH ITS BEST CORRESPONDING ITEM FROM COLUMN "B".

A

- Goodwill
- Founders
- Share warrants
- Share premium
- Auditors
- Contribution of skill
- Partners own their contribution
- Two types of partners
- Certificate of indebtedness
- Agents of the company

B

- The price in excess of par value
- Control the board
- Ordinary partnership
- Joint venture
- Debenture
- Liability for defective formation
- Shares
- Right to subscribe for shares
- Limited partnership
- General meetings of shareholders
- Business
- Bodies Corporate under public law
- Board of directors

SECTION III: SHORT ANSWERS (15 %)
GIVE A SHORT ANSWER TO THE FOLLOWING QUESTIONS

- 3.1. What are vices of possession under the Ethiopian law? Indicate the provisions that incorporate the vices. (5%)
- 3.2. To whom are directors of share companies accountable under Ethiopian Commercial Code? (5%)
- 3.3. What is the distinction between original and derivative means of acquiring ownership? (5%)

SECTION IV: ESSAY TYPE QUESTIONS (20 %)

**WRITE SHORT ESSAYS FOR THE FOLLOWING QUESTIONS
IN NOT MORE THAN 10 LINES (20%)**

- 4.1. Describe the place of equity under the Ethiopian extra-contractual liability law. (11%)
- 4.2. Cite and explain three provisions of the Revised Family Code that are put in place to prevent or stop abuse of the adopted child by the adopter. (9%)

SECTION V: HYPOTHETICAL CASES (30%)

5.1. HYPOTHETICAL CASE I (15%)

Ato Mekontaw used to beat his wife Selam. Selam had suffered a lot from the misconduct of her husband for a long period of time. As time went by, his beating became more and more intolerable. Six months ago, she fled to her friend's, Fatuma's, house. As Fatuma's income was so little, she was unable to support her guest for more than few days. Selam had no choice but to go back to her husband. One night, Ato Mekontaw intimidated W/o Selam with a knife. While he was about to stab her, she threw a big stone and hit his head. Ato Mekontaw died of a severe bleeding within an hour. Following the death of Ato Mekontaw, W/o Selam was charged for crime of homicide. Later, she won the case on legitimate defense ground.

Ato Mekontaw had no any child. However, his parents have three children, including Ato Mekontaw. His mother, W/o Banchu, his brother Wondimu and his sister Chaitu survived Ato Mekontaw. Ato Ergetie, Ato Mekontaw's father, died three years ago.

Ato Mekontaw left an automobile which he bequeathed to W/o Selam in his valid will and 1 million birr which he acquired before the conclusion of his marriage. In his will, he made no indication about the 1 million Birr.

5.1.1. Can W/o Selam succeed the deceased? Why/Why not? (8%)

5.1.2. Considering the estate left by Ato Mekontaw, what amount shall be distributed to each heir? (7%)

5.2. HYPOTHETICAL CASE II (15%)

As Mr. Garuma Melkamu wanted to buy a vehicle with plate no A.A 2-23456 from Mr. Sebsibe Dechasa, the vehicle was taken to a garage for examination. The vehicle was examined by a mechanic employed by a garage called Flourishing Garage located in Arada Sub-city, Addis Ababa. Having made the examination in the presence of the contracting parties, the mechanic told the contracting parties that the vehicle was free from any defect to the best of his knowledge. On the basis of the testimony of the mechanic, the contract of sale was duly concluded; the buyer paid 90% of the price of the vehicle which was 180,000.00 Birr. Then, the buyer took delivery of the vehicle from the seller.

After that, since the buyer wanted to get the plate number changed from private automobile to a commercial one with a plate number beginning by A.A 03-XXX, he took the vehicle to the Addis Ababa City Government Transport Authority. The experts in the Authority examined the vehicle and found out that the **chassis** of the vehicle was not the original one; rather, it was a cut and paste one. Because of this, according to them, it was not possible to give a normal plate number to such vehicle due to this defect. Therefore, the buyer told the seller that the problem was so serious that the contract of sale of the car could not be acceptable to the buyer. The buyer requested the seller to return the money, which was paid as price and take his vehicle. However, the seller responded that the contract of sale is valid and he (the seller) could not be obliged to take back the vehicle and return the money to the buyer. Because of this, the buyer wants to sue the seller and get the contract of sale of the vehicle invalidated.

Do you think that the stance of the buyer is tenable under the Ethiopian Law of Contracts? Why/Why not? (15%)